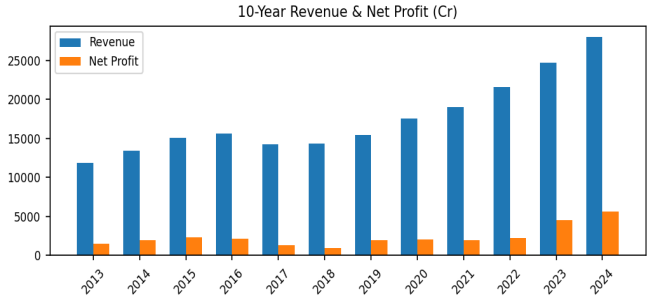
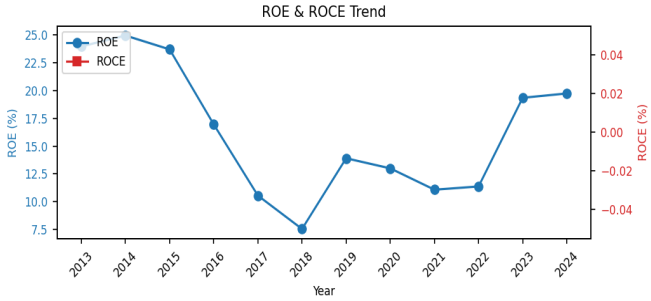
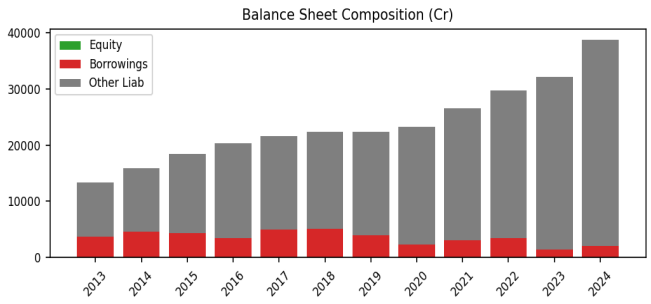
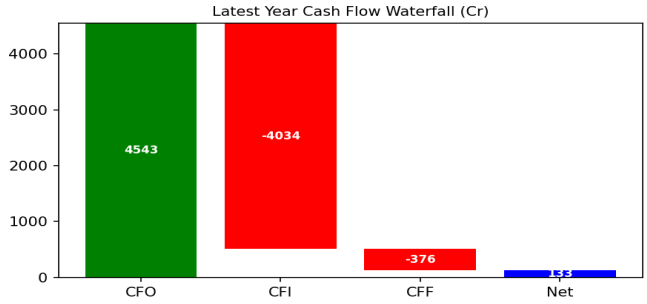
Dr Reddys Laboratories Ltd (DRREDDY)

Revenue	Net Profit	Total Equity
■2.8T	■5578Cr	■83Cr
ROE	**ROCE**	**D/E**
19.7%	-	0.07x









Pros	Cons
• Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Net profit compounding at above 20% over 5 years creates significant shareholder value (Conf: 90%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Return on equity improving for 3 consecutive years shows strengthening business quality (Conf: 75%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Subject to normal macroeconomic and sectoral risks (Conf: 61%)

Capital Allocation Pattern: Reinvestor